Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
and
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Gas Safety Panel

Case 23-G-0225
Case 23-G-0226

Date: September 22, 2023

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I. Introduction

Q. Please identify the members of the Gas Safety Panel.

A. The Gas Safety Panel consists of Ross W. Turrini and Aaron J. Choo.

Q. Is this the same Panel that testified previously in this proceeding?

A. Yes, except that original panel member Mark Prewitt has left National Grid since the Companies' rate filing in April 2023. Capitalized terms defined in the Panel's direct testimony have the same meanings here.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The purpose of the Panel's rebuttal testimony is to respond to certain gas safety performance and program recommendations set forth in the prepared testimony of the Department of Public Service Staff ("Staff") Gas Infrastructure and Operations Panel ("SGIOP"), and Staff Pipeline Safety Panel ("SPSP"). Specifically, the Panel's rebuttal testimony will address:

- The Companies' record of improvement in gas safety performance;
- The benefits of performance incentives in promoting further improvements in gas safety;
- Staff's recommendations regarding the Companies' gas safety metrics and incentives; and

- Staff's recommendations regarding the Companies' incremental gas safety programs and enhancements.

Q. Does the Panel sponsor any exhibits as part of its rebuttal testimony?

A. No.

II. Companies' Record of Continuous Improvement in Gas Safety

Q. Before discussing Staff's specific proposals on safety performance measures and the Companies' incremental safety programs, would the Panel like to comment generally on the Companies' commitment to safety and compliance?

A. Yes. The Companies have worked to develop a culture where safety and compliance are paramount. The Companies have focused on people, processes, systems, and technology to reinforce National Grid's commitment to safety and compliance. As stated in the Companies' direct testimony, these commitments are reflected in improvements the Companies have made, including: additional field inspections; damage prevention enhancements; investments in technology solutions; efforts to enhance training and simplify procedures and practices in the field; and efforts to implement the American Petroleum Institute's recommended comprehensive risk identification and management framework (Recommended Practice 1173).

The Companies' efforts have resulted in improvements in safety performance, and the Companies are committed to further progress. The Companies' priority is the safety of our customers, communities, and employees; we are continuously seeking opportunities to enhance our pipeline safety management processes. To that end, the proposals described in the Panel's direct testimony, including incremental safety programs, challenging performance metrics, and incentives that encourage the Companies to exceed regulatory requirements, will help the Companies to drive continuous performance improvements over the course of the next rate plan.

III. Gas Safety Measures Performance Targets and Incentives

A. Goals of Gas Safety Performance Targets and Incentives

Q. What is the purpose of gas safety metrics and performance targets?

A. The Companies' current rate plans establish performance metrics and targets to ensure the Companies meet their regulatory requirements to provide safe and reliable service to customers. The metrics measure the Companies' performance across various activities, ranging from leak-prone pipe ("LPP") retirement to emergency response. Metrics may include negative revenue adjustments ("NRAs") or positive revenue adjustments ("PRAs") if the Companies' performance varies from established levels. NRAs serve to

penalize the Companies for underperformance, while PRAs incent the Companies to exceed base expectations and deliver incremental improvements.

Q. Please describe the gas safety performance measures under the Companies' current rate plan.

A. The Joint Proposal adopted by the Commission in the 2019 KEDNY and KEDLI Rate Cases, established performance measures for leak management, LPP removal, emergency response, damage prevention, and compliance with the Commission's pipeline safety regulations, with associated NRAs for failing to meet established performance targets and, in the case of leak management, damage prevention, and emergency response, PRAs for superior performance. Staff proposes to maintain the current amount at risk for NRAs, which totals 150 basis points ("BPs") of return on common equity.

Q. Does Staff propose to reduce the number of performance measures with PRAs?

A. Yes, the SPSP (at 13 and 19) proposes to eliminate the PRA for leak management. As discussed more below, the Panel opposes this recommendation as it is counterintuitive given Staff and other parties' interest in eliminating system leaks and lowering system emissions.

Q. Please explain why inclusion of PRAs and incentives are appropriate.

A. PRAs do not simply reward the Companies for adequate performance or business-as-usual activities. PRAs incentivize the Companies to perform additional work and provide enhanced services, such as incremental leak repair, that benefit customers and the community and further aligns the Companies' performance with public policy objectives. Appropriately challenging PRAs support continuous improvement and superior performance with the goal of exceeding customer expectations and industry standards. The Commission commonly uses them for this purpose, most recently when approving Consolidated Edison of New York's ("Con Edison") joint proposal (Case 22-G-0065).

Q. Are metrics appropriate for a one-year rate plan?

A. No. The gas safety performance metrics are designed to drive performance improvements over time. To that end, the Companies' proposals for performance metrics contemplate a multi-year rate plan. The Companies do not agree with the inclusion of performance metrics in a one-year litigated case. The Companies submit that their performance history in this area (having met or exceeded all gas safety metrics over the term of the current rate plan) should provide the Commission with sufficient comfort that safety performance will not be diminished in a one-year rate plan.

B. Use of NRA Deferral Balances to Fund Safety Programs

Q. Please discuss the Companies' NRA deferral balances.

A. As discussed above, under the terms of the current rate plan, the Companies' performance relative to the gas safety metrics is tracked annually and failure to meet metric targets can result in NRAs, which are deferred for future customer benefit.

Q. How have the Companies historically used NRA deferral balances?

A. The Companies have historically used NRA balances to fund selected safety programs for the benefit of customers. Such treatment is consistent with how other utilities across New York State, including Con Edison and Niagara Mohawk Power Corporation ("Niagara Mohawk"), have used similar deferral balances. The Joint Proposal from the 2019 KEDNY and KEDLI Rate Cases (at 115) specifically provides that "negative revenue adjustment[s] incurred will be deferred for future use to fund gas safety and compliance improvement programs." The 2019 Joint Proposal also provided for the use of NRAs to fund the distribution of residential methane detectors ("RMDs") and implementation of additional surveys and system mapping.

Q. What are the SPSP's recommendations for the use of KEDNY and KEDLI's NRA deferral balances?

A. The SPSP recommends (at 64-65) that the Companies use the NRA deferral balances to fund Staff's proposal to deploy connected RMDs that make use of Long-Range Wide-Area Network (discussed more below).

Q. Do the Companies agree with the SPSP's recommendations?

A. In part. The Companies support using portions of the deferral balances to fund gas safety programs, but do not believe Staff's RMD proposal should be implemented for the reasons discussed below.

IV. Safety Metric Recommendations

A. Leak-Prone Pipe ("LPP") Retirement

Q. Does the SPSP agree with the Companies' proposed annual LPP retirement targets?

A. No. Noting the safety, reliability, emissions reductions, and other operational benefits of eliminating LPP, the SPSP recommends (at 28-29) significantly increasing the annual targets for LPP retirements as follows:

Table 1: KEDNY – Minimum LPP Miles

KEDNY Minimum LPP Targets (Miles)			
Year	**KEDNY Proposed**	**Staff Proposed**	**Difference**
2024	38	55	17
2025	41	65	24
2026	43	75	32
2027	44	85	41
Cumulative Target	**186***	**280**	**94**

Table 2: KEDLI – Minimum LPP Miles

KEDLI Minimum LPP Targets (Miles)			
Year	**KEDLI Proposed**	**Staff Proposed**	**Difference**
2024	110	125	15
2025	114	135	21
2026	115	145	30
2027	117	155	38
Cumulative Target	**476***	**560**	**84**

*As discussed in the Gas Infrastructure and Operations Panel's ("GIOP") corrections and updates testimony (KEDNY GIOP C&U at 15; KEDLI GIOP C&U at 14), the Companies propose to continue the existing LPP metric structure that sets a minimum annual threshold (typically five miles less than the target mileage funded in rates) and a cumulative target. The Companies believe that minimum and cumulative targets for a multi-year rate plan are appropriate to allow for workplan flexibility and efficient use of resources. Among other benefits, this flexibility allows the Companies to avoid the situation where LPP retirements needs to be completed at year-end on a

compressed schedule (and increased costs), when the project could otherwise be completed in the following calendar year more efficiently and cost effectively. Staff's proposal does not appear to incorporate the concept of minimum and cumulative targets, which has been adopted in numerous recent New York rate plans.

While the Companies strongly support the retirement of LPP, as evidenced by the more than 500 miles retired over the term of the current rate plan, the Companies do not believe that Staff's proposed targets are reasonable given the incremental resources and costs required to achieve these targets. Staff's proposed LPP targets for KEDNY and KEDLI are approximately 40 percent and 20 percent higher, respectively, than the already aggressive targets proposed by the Companies. Simply put, the Companies do not have the internal crews and support staff, contractors, engineers, and other resources available to deliver Staff's proposed level of LPP retirements – and could not possibly ramp-up the necessary resources over the next several years in a way that would make these targets reasonably achievable.

In addition to the resource challenge, this level of incremental construction work requires additional permitting and municipal coordination, which would present challenges given the current level of construction activities in the

region. This additional work would also have impacts on local communities (*e.g.*, traffic disruption) that are already seeing the impacts of increased levels of municipal and utility infrastructure upgrades. For these reasons, it is unlikely that local permitting authorities would be willing and/or able to issue the number of road opening and other permits necessary to complete the level of construction work necessary to achieve Staff's targets.

Finally, achieving these targets would involve significant costs that would ultimately be borne by customers. The Companies' GIOP rebuttal testimony explains that Staff significantly understated the costs associated with LPP replacements by proposing a unit cost for main replacements that would not cover the funding required to perform the work. Among other issues, Staff's budget estimates fail to account for the cost pressures on the Companies' construction activities directly resulting from inflation and supply chain shortages, and do not reflect the additional operations and maintenance ("O&M") expenses associated with main replacements for the increased miles (*e.g.*, disconnects and reconnects; incremental O&M associated with additional personnel). For these reasons, the Panel believes the SPSP's proposed targets are unreasonable.

B. Leak Backlog Metric

Q. What are the SPSP's proposals for modification of the Leak Backlog Metric?

A. The SPSP recommends several changes to the Companies' proposed Leak Backlog Metric.

- For the Repairable/Workable Leaks, the SPSP (at 18) proposes to reduce the Companies' year-end target from 20 to 10 leaks.
- For the Total Leak Backlog, the SPSP recommends the following year-end targets:

Table 3: KEDNY – Total Leak Targets

Calendar Year	Company Proposal	Staff Proposal
2024	1,350	1,000
2025	1,200	900
2026	1,050	750
2027	900	600

Table 4: KEDLI – Total Leak Targets

Calendar Year	Company Proposal	Staff Proposal
2024	3,200	2,200
2025	2,450	1,450
2026	1,800	800
2027	1,250	250

- Staff (at 19) proposes to eliminate the PRA opportunity for total leak repair.

- Staff (at 22) also recommends that the Commission set a repair time limit of two years for newly discovered leaks once KEDNY or KEDLI's leak backlog has been reduced to 500 or fewer Type 3 leaks.

Q. Do the Companies agree with the SPSP's proposals?

A. No. Like the SPSP's approach with the LPP metric, Staff proposed to significantly increase the targets for leak reductions without considering the required resources or associated costs. The Companies believe their leak backlog proposals are already challenging and strike the correct balance to drive reductions of the overall leak backlog while strategically targeting the highest emitting leaks to maximize methane reductions. Significantly, under the Companies' proposals to retire LPP and repair leaks, KEDNY and KEDLI will reduce their leak backlog from CY 2011 to CY 2013 peak levels by 80 to 90 percent by the end of the proposed rate plan period. This is a significant achievement that aligns with the State's emissions reductions goals.

The Companies offer the following responses to Staff's specific leak management proposals:

- Repairable/Workable leaks: The Companies' year-end repairable backlogs in prior years are not necessarily representative of the workable leaks that might arise due to cold weather and other operating

conditions. Workable leaks typically require more time and resources to repair, and, if too many arose near the end of the year, the Companies could struggle to meet a lower metric. The existing repairable target of 20 leaks is challenging and reasonable.

- Total Leak Backlog: As discussed above, Staff proposes to significantly increase the leak reduction targets without proposing any additional resources for the necessary repairs. Moreover, most leaks in the total backlog are Type 3, and more than 50 percent of these leaks are located on LPP mains, which will be eliminated as part of LPP replacements in coming years.
- Incentives: The Companies strongly believe that the Leak Backlog Metric should continue to incentivize and provide cost recovery for repair of incremental Type-3 leaks.
- Two-Year Repair Time Limit: While the Companies believe leaks should be repaired as quickly as possible, there are various factors that may contribute to a leak remaining active for a longer period (*e.g.*, leaks on main segments scheduled for replacement; leaks occurring on protected streets). Again, it would be an inefficient use of resources to repair leaks that would otherwise be addressed through a scheduled LPP retirement. Also, the timeline for repairing Type-3 leaks is currently being considered by PHMSA in the pending Gas Pipeline Leak

Detection and Repair proceeding (Docket No. PHMSA-2021-0039) (discussed below). Staff's comments in that proceeding opposed a three-year repair timeframe (instead recommending five years) because such a change would require "substantial rate plan modifications." In this proceeding, Staff is proposing to reduce the repair timeline to two years without proposing any additional resources. The Commission should allow PHMSA to consider the issue of repair timelines before adopting a potentially more stringent requirement here. For these reasons, the Companies oppose Staff's recommendation.

Q. Please address Staff's proposal to eliminate the current PRA for leak repairs adopted in the 2019 KEDNY and KEDLI Rate Cases.

A. The SPSP (at 19) recommends eliminating the current PRA for repairing additional leaks in a calendar year but does not provide its reasoning for eliminating the incentive adopted by the Commission in the 2019 KEDNY and KEDLI Rate Cases.

Q. Do the Companies agree with the recommendations of the SPSP to eliminate the leak management PRA?

A. No. The recommendation to remove the leak management PRA is entirely counterintuitive to the policy and safety goals discussed throughout Staff's

testimony. PRAs are intended to incentivize companies to engage proactively in activities that will ultimately benefit customers. Despite detailing the reasons Staff believes the Companies should eliminate system leaks, Staff does not support an incentive that would promote further reductions to the leak backlog. An incentive encouraging the Companies to stretch beyond the baseline targets will ultimately help eliminate system leaks in furtherance of the Commission's safety and policy goals.

C. Damage Prevention Metric

Q. What are the SPSP's recommendations for adjusting the Damage Prevention metric targets?

A. The SPSP (at 46) recommends that both Companies should be subject to the following performance metric for the overall damage rate:

Table 5: Staff's Proposal for Overall Damage Rate Per 1,000 tickets

Rate	NRA/PRA
2.75	20 BPs NRA
2.51-2.75	10 BPs NRA
2.01-2.50	5 BPs NRA
1.51-2.00	No NRA/PRA
1.10-1.50	5 BPs PRA
< 1.10	10 BPs PRA

Q. What is the Panel's response to Staff's proposal?

A. The Companies propose to maintain the current targets, including a target of 3.0 overall damages per 1,000 one-call tickets with a corresponding NRA equal to five pre-tax basis points. Under the SPSP's recommendation, the Company would be required to achieve 2.0 or fewer overall damages per 1,000 one-call tickets to avoid an NRA. Staff offers no additional resources or funding that would enable the Companies to enhance performance to the levels recommended by the SPSP. In fact, Staff recommends *eliminating* the Companies' proposed damage prevention program enhancements:

> The [SPSP's] analysis of the Companies' state-wide damages per 1,000 notification metric indicates that the Companies has remained stagnant and significant improvements will only come through the introduction of another concentrated effort or advancement. The Panel does not agree that this incremental effort provides significant enough resources to result in significant improvement to the damages prevention metric. The Panel supports the Companies' current efforts as they are sufficient to maintain their current performance.

Thus, Staff is on the one hand proposing to significantly increase the Companies' performance targets for overall damages when discussing the performance measures, while on the other hand indicating they are unwilling to fund additional programs to potentially enhance performance and are content to maintain the current programs and performance levels. This is an unreasonable position.

The Companies also note that the total/overall damage metric includes instances of damage that are often outside their reasonable control. Although the Companies acknowledge that they can reduce instances of third-party damages (*i.e.*, non-Company or Company contractor excavators digging with hand tools), there will always be some third parties who will excavate without calling 811 to generate a ticket. It is unfair to penalize the Companies financially for the actions of third parties who are outside the direct control of the Companies.

Q. What is the Companies' recommendation for the Damage Prevention Performance Metric?

A. The Companies recommend retaining the current metric structure and targets. This is the most balanced measure of damage prevention performance that exposes the Companies to significant NRAs for failing to meet stringent targets.

Q. If the Commission adopts Staff's proposed changes to the damage prevention metric, would the Companies require additional resources to meet the targets?

A. Yes. The amounts included in the Companies' rate plan, including the Companies' forecasts for the Damage Prevention Program described on pages 44-45 of the Panel's direct testimony (which the SPSP recommends eliminating), assume the current metric targets. If the targets were to change,

the Companies would need to devote additional incremental resources to these programs to meet the SPSP's proposed targets.

D. Emergency Response Metric

Q. Does the SPSP support the Companies' proposed Emergency Response Metric and the addition of incentives to the metric?

A. Yes. The SPSP (at 35) supports the Companies' proposal to maintain the existing Emergency Response targets and incentives, including the exclusion of mass odor calls from the metric.

E. Gas Pipeline Safety Regulations Performance Metric

Q. Does the Panel agree with the SPSP's recommendation to revise the metric targets and associated NRAs?

A. No. The SPSP (at 52) proposes several adjustments to the Pipeline Safety Regulations Performance metric structure that could impose additional NRAs on the Companies. The Companies have a record of improved performance in this metric over the past few years, which is detailed in this Panel's direct testimony; as such, the Panel believes imposing more stringent performance targets and NRAs in response to improved performance is unwarranted.

Staff's proposal would also subject KEDNY and KEDLI to more punitive metrics than other New York gas companies. For example, the SPSP (at 52) proposes that all high-risk field audit violations should result in an NRA of one basis point (compared to 0.5 basis points for the first 20 violations under the current structure). In Con Edison's recent rate settlement joint proposal (Case 22-G-0065) provides that the first 20 field violation will incur an NRA of 0.5 basis points. The SPSP proposes additional adjustments to increase the exposure for other types of violations without explanation. Therefore, the SPSP's proposal would unreasonably increase the Companies' exposure under the metric without adequate justification.

Q. Does the Panel agree with the SPSP's (at 56) recommendation to eliminate the 10-violation cap for field audits?

A. No, the SPSP has offered no compelling reason why the cap should be removed for field audit or why the Companies should again be treated differently from other New York utilities. Moreover, the SPSP notes that the Commission is not precluded from pursuing a separate penalty action for the Companies' non-compliance in certain circumstances. The ability to commence an enforcement proceeding provides the enforcement the SPSP seeks in instances where the Companies' non-compliance warrants further action without highly restrictive

annual targets that may serve to overly penalize the Companies for potentially minor infractions of the regulations.

V. Proposed Adjustments to the Companies' Incremental Safety Programs

A. Advanced Communications Infrastructure

Q. Please describe the Staff's recommendation regarding the Advanced Communications Infrastructure ("ACI") Program?

A. As described in the Companies' GIOP rebuttal testimony, the SPP (at 69) recommends eliminating the ACI program because, in Staff's view, the Companies have not provided sufficient support for the program, including through benefit costs analyses ("BCAs").

Q. What does the SPSP propose in place of the ACI Program?

A. The SPSP (at 63-64) proposes an alternative to the RMD component of the ACI Program that would use connected RMDs and make use of a Long-Range Wide Area Network ("LoRaWan"), similar to the RMDs used by Con Edison in its service territory. Staff proposes to pay for this program through a combination of redirecting funding from the Companies' proposed Damage Prevention Enhancements Program and utilizing the remaining NRA funds assessed from 2018 through 2022.

Q. Does the Panel agree with Staff's alternative RMD proposal?

A. No. The Companies strongly support the development of RMDs with advanced technologies that can automatically communicate information, including methane emissions, to the Companies' systems. However, Staff's proposal is not workable because, unlike Con Edison, the Companies do not have access to a LoRaWan that would allow for the deployment of connected RMDs. For this reason, the Companies have proposed the ACI Program to develop the network capable of supporting a similar RMD program. Regarding the costs, Staff does not provide a detailed estimate of the costs associated with developing the alternate LoRaWan RMD proposal. It is therefore, unclear whether the proposed funding mechanism would cover the costs of such a program.

B. Inside Service Line Inspection Program

Q. Does the SPSP make recommendations for the Companies' Inside Service Line Inspection Program?

A. Yes. The SPSP (at 75) does not agree with the Companies' proposal to change the frequency of leak surveys in Business District (from annually to at least once every five years) in areas where the Companies have deployed the Advanced Communication Infrastructure – RMD Program. Staff also indicates it would not support extending the survey frequency cycle in areas where the Companies deployed the SPSP's alternate RMD proposal because this would

be a pilot program with limited number of customer and insufficient data to measure the effectiveness of the devices.

Q. Do the Companies agree with the SPSP's recommendations?

A. No. The Companies believe that the survey intervals should be modified in areas where the Companies' have deployed connected RMDs. As the Panel described in its direct testimony, the RMDs will provide the Companies with continuous and up-to-date information regarding gas leaks and the presence of methane within customer premises, which provides superior leak data to the information secured through surveys. Accordingly, the Companies can extend the survey cycle without compromising safety.

Also, if the Commission does not adopt the Companies' proposal to extend the survey cycle from one year to five years, the Companies' revenue requirements should be increased to reflect the additional O&M costs for the annual inspections, as the Companies' revenue requirements currently assume savings from the extended five-year cycle.

C. Voluntary Integrity Management Program ("IMP") for Pipelines Operating Above 125 psig

Q. Please discuss the SPSP's adjustment to the proposed Voluntary IMP Program.

A. The Companies proposed a program to inspect 20 miles of pipeline operating above 125 psig annually that is not included in its current IMP. The SPSP (at 77) supports the proposal but disagrees that the program should be characterized as voluntary because of Staff's interpretation of the term "transmission lines" under 16 NYCRR 255.3.

Q. Does the Panel agree with Staff's position on this issue?

A. No. Significantly, the SPSP (at 78-80) notes that the Companies' interpretation of the Commission's gas safety regulations is reasonable and the Companies are not out of compliance with the applicable regulations. However, because the Companies and Staff agree the program should be implemented as proposed, there is no reason to address the code interpretation issue at this time.

D. Damage Prevention Program Enhancements

Q. Please address the SPSP's comments regarding the Damage Prevention Enhancements Program.

A. As discussed above, Staff opposes this program under a theory that the proposal does not go far enough to make meaningful changes to the Companies' performance and, therefore, the funds would be better served supporting other programs (*i.e.*, Staff's proposed RMD program). Therefore, the SPSP (at 83) recommends that the Commission reject the incremental funding for this program.

Q. Will Staff's proposed adjustments impact the Companies' ability to maintain current performance levels?

A. Yes. While the program title was labeled "enhancements," the additional funding is required to maintain current performance levels given increasing contractor costs and forecast increases in the number of one-call tickets (which will increase the risk of third-party damages). On this point, Staff is correct in concluding that the program does not involve significant enhancement to the current damage prevent program. Nonetheless, the Companies require additional funding to maintain current performance levels.

E. Gas Pipeline Safety and Compliance

Q. Describe the SPSP's recommendations regarding the proposed Gas Pipeline and Safety Compliance Program.

A. The SPSP (at 85-86) generally supports the Companies' proposal but recommends reducing the number of FTEs from 11 to six because the program is not mandated and, in Staff's view, the number of incremental FTEs is excessive.

Q. Do the Companies agree with the SGIOP's proposed adjustment?

A. No. This is an important safety and compliance program that warrants the level of FTEs proposed by the Companies. As discussed above, the Companies are striving to achieve a level of safety and compliance beyond what is "mandated" and this program is an important component of an comprehensive pipeline safety program.

While the Gas Pipeline and Safety Compliance Program is not mandated, the program establishes a critical framework for ensuring the safety of our employees, contractors, customers, and the general public. Among other benefits, the Pipeline Safety Management resources are critical to supporting expanding pipeline safety regulations, such as PHMSA's leak detection and repair initiatives (discussed below). These regulatory changes will impact the

Companies' current processes and will require more frequent self-assessments and continuous improvement activities. A review of CFR 49 Subchapter D, Pipeline Safety Section 192, identified nearly 900 compliance obligations requiring control testing, with an additional 400 to be added to support new requirements. The incremental resources will support these assurance activities. Additionally, the compliance resource will support regulatory reporting and the annual safety audits to ensure comprehensive and timely reporting to Staff.

F. KEDNY Gas Safety Public Awareness Program

Q. Why does the Staff Consumer Services Panel ("SCSP") propose to remove KEDNY's Gas Safety Public Awareness program?

A. The SCSP suggests several concerns with the program, including their assessment that: there is no added value to this program, as the same content and materials are included in KEDNY's 2023 Outreach and Education Plan ("2023 O&E Plan"); and it is unclear what the actual cost of the program will be.

Q. Does KEDNY agree with the SCSP's proposal to remove this program?

A. No. This program is an important gas safety measure that was developed by the Company in response to recent gas events in KEDNY's service territory. KEDNY identified the direct mailing campaign proposed in the Gas Safety

Public Awareness program as the most effective means to reach members of the public who may not be existing gas customers and would not be receiving any of the gas safety messaging included in the Company's bills. The Gas Safety Public Awareness program will provide direct communications to stakeholders (non-customers) in multi-family dwellings who do not receive a KEDNY service bill, providing these stakeholders with important gas safety information. Although there may be some overlap with the communications provided in the 2023 O&E Plan, KEDNY believes that the direct line of communication on these important, and potentially lifesaving, matters provides significant added value.

Q. What are the cost of the program?

A. As stated in our direct testimony, the cost of the program is forecast at $0.288 million in each of the Rate Year and Data Years with a total cost over the rate term of $1.150 million. The quote provided in the Company's response to IR No. DPS-958, included in Exhibit __ (SCSP-1), was a preliminary quote from the Company's consultant, which has been updated as reflected in our direct testimony. Because this is a new program, the Company has not previously incurred costs and historical spending is not relevant.

VI. Other Recommendations

A. Pipes Act: Leak Detection and Repair

Q. Please describe PHMSA's recent notice of proposed rulemaking regarding leak detection and repair.

A. In May 2023, PHMSA issued a Proposed Rulemaking for Pipeline Safety: Gas Pipeline Leak Detection and Repair (Docket No. PHMSA-2021-0039). PHMSA proposes a transformative set of new regulations regarding the detection and repair of gas leaks. Among other significant changes, PHMSA's rulemaking includes:

- More frequent leakage surveys for distribution pipelines located outside of business districts, without cathodic protection, or known to leak based on their material, design, or operational and maintenance history. Leakage surveys also would be required within 72 hours after an extreme weather event or land movement that is likely to damage affected pipeline segments.
- Operators of gas distribution systems implement written Advanced Leak Detection Programs ("ALDP") and establish performance standards for the sensitivity of leak detection equipment and the effectiveness of their ALDPs.
- All Type-3 leaks must be repaired within 24 months of detection and be re-evaluated once every six months until repair is complete. To

accommodate ongoing pipe replacement programs (*e.g.*, LPP programs), the proposed rulemaking provides that a Type-3 leak may be monitored rather than repaired if the pipeline on which the leak is detected is scheduled for replacement or abandonment within five years of the date the leak is detected.

These changes, among others proposed, would require significant incremental costs to implement and maintain.

Q. What is the Companies' proposal regarding the PHMSA rulemaking?

A. Because the final scope and timing of these changes are uncertain, the Companies propose that they be allowed to defer the full costs associated with implementation during the term of the rate plan for future recovery. Given the potential magnitude of these costs, the Companies also propose the ability to initiate a surcharge to recover incremental costs associated with any new compliance costs.

Q. Does that conclude your testimony?

A. Yes.